

A disproportionate increase in select stocks has driven the latest rally.

JIGAR SHAH DIRECTOR, KR CHOKSEY



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seen the quickest surges and the steepest falls in the period after the Fed rate cuts. While the Sensex rose from 16,000 to 17,000 points in a matter of five trading sessions, it plunged by 1,743 points to touch a low of 17,307.9 on October 17, triggered by SEBI's new draft guidelines on participatory notes—the largest fall ever in a single day in the Indian stock market.

While the India story is attractive—with over 9 per cent GDP growth and 40 per cent rise in advance tax collections—the Indian market has more to worry about than liquidity. Considering nobody knows the magnitude of the sub-prime crisis, the slump in the US market may induce the Fed and other central banks to infuse more liquidity and slash interest rates further. Says Amitabh Chakraborty, president (equities), Religare Securities: "This will weaken the dollar and cause more liquidity in emerging markets like India."

With the Olympics round the corner, China is increasing interest rates. Says Jigar Shah, director at KR Choksey Shares and Securities, a broking firm, "Today, the centre of action has shifted to India and China. The general feeling is that China is slowing down. This will have a ripple effect in India." Another factor is the Baltic Dry Index, which comprises 22 key dry bulk shipping rates. A rise in the index has made the global movement of raw materials expensive.

The spectacular rise of the Sensex has taken the market capitalisation of the listed Indian stocks to a staggering Rs 60 lakh crore. This has resulted in a market cap-GDP ratio—which indicates the valuation of the market and the stage of the bull run—of 1.2, which is too high for an emerging market,



International uncertainty will continue for some time and it will affect markets here.

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UP AND AWAY

The Sensex's price-earnings ratio, which indicates market valuation, has touched 25, making stocks expensive

Date	PE Ratio
January 2, 2005	17.74
June 5, 2005	14.5
December 25, 2005	19.17
January 29, 2006	19.01
June 25, 2006	19.23
December 31, 2006	23.52
January 28, 2007	22.27
June 24, 2007	20.98
November 25, 2007	25.99

For the next year, the Sensex will remain at 19,000 if foreign inflows are modest.

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where depth is still an issue. India's ratio is closer to that of developed markets like China, which is at 1.55, and the US, which has a ratio of 1.4. A market cap-GDP ratio of over 1.1 marks a bubble zone, suggesting that stocks are overvalued. Chakraborty, however, disagrees. He believes Indian companies are reporting a year-on-year growth of 20 per cent, which can sustain a Sensex PE of at least 20.

So is the stock market party over? Unlike in the past, there is no clear answer to this. The present bull run may continue, leading to sharp rises in the market over the next six months. But it is just as probable that markets will correct near-term and then have a phase of consolidation before preparing for the final bubble phase. The near-term performance of the Indian market—it grew by 35 per cent in the past three months—may be impressive, but to absorb the returns, it needs some consolidation. If the valuations go up by 15-20 per cent, the market will go into bubble mode, says the research report of a foreign broking firm.

It's best to book profits and wait for the worst to pass. The rest of this financial year and the next will be challenging in terms of earnings. Leading mutual funds expect earnings-per-share growth to average 15-17 per cent, which is well below the 25-per-cent average of the last four years. The month of November has already seen negative returns, a first since 1997. A year-end rally will depend solely on a Fed cut on December 11. For the bravehearts, there are a number of initial public offers like Emaar MGF, Reliance Power and HDFC Standard Life, but the *aam aadmi* will do well to keep a safe distance from the equity cult for the time being.